SAP S/4HANA Finance Practice Project

From organisational structure and General Ledger to the AP/AR foundation | SAP GUI, training system

Sneha Kannan | B.Com (Accounting & Finance)

Project snapshot

8 GL transactions posted and verified	**338,000** INR cash balance reconciled to capital, income and expenses	**2** company codes worked in (AWS0, BRI0)
1 + 4 cost center created and hierarchy groups built (Finance, HR, HQ, Production)	**6** vendor and customer account groups mapped to Business Partner	**FI + CO** integration: company code, controlling area, cost center

Skills shown: SAP GUI navigation | GL master data and posting | balance reconciliation | FI-CO organisational links | cost center and hierarchy set-up | Business Partner (CVI) configuration

Overview

A hands-on record of my SAP S/4HANA Finance (FI) practice, from setting up organisational units and General Ledger accounts to posting and verifying transactions, linking FI to Controlling (CO), and configuring the Customer/Vendor Integration that prepares Accounts Payable and Receivable.

All work was done on a training system with fictional organisational data. Names in the screenshots are practice labels and do not imply any affiliation with any company.

Project at a glance

Stage	What I did	Evidence
1. Organisational structure	Reviewed company code AWS0; worked with chart of accounts and controlling area	Fig. 1
2. Controlling (CO)	Created cost center CCFI; worked on the standard cost center hierarchy	Fig. 2, 3
3. General Ledger	Created GL accounts and posted 8 transactions; verified balances	Fig. 4
4. AP/AR foundation	Configured vendor and customer to Business Partner integration (CVI)	Fig. 5 to 8

1. Organisational structure

The **company code** is the smallest unit with its own complete set of books. It is assigned to a chart of accounts, a fiscal year variant and a posting period variant, and to a **controlling area**, which connects FI with CO.

Item	Value
Company code	AWS0 (city Bengaluru, country IN, currency INR, language EN)
Controlling area	AWS0
GL posting company code	BRI0 (used for the General Ledger postings in section 3)

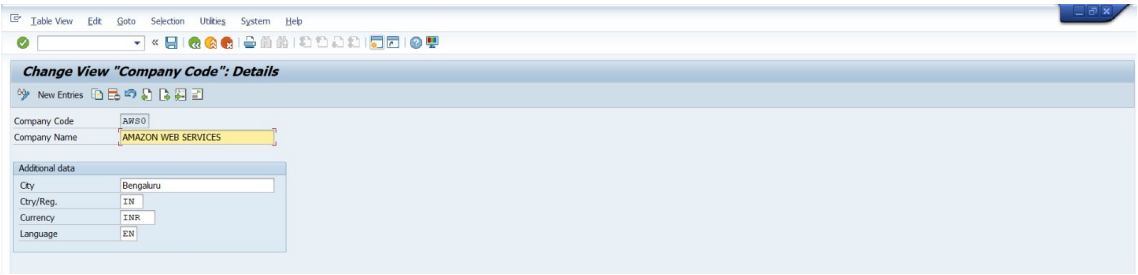


Fig. 1: Company code definition (name, city, country, currency, language).

2. Controlling: cost center and hierarchy

A **cost center** collects costs for a department. I created a Finance cost center and worked on the standard hierarchy so costs can be reported by department and rolled up.

Item	Value
Cost center	CCFI, FINANCE CC, valid 01/01/2026 to 12/31/9999
Category / currency	1 (head quarter) / INR
Hierarchy area	CCHAWS0, with Finance, HR, HQ and Production groups

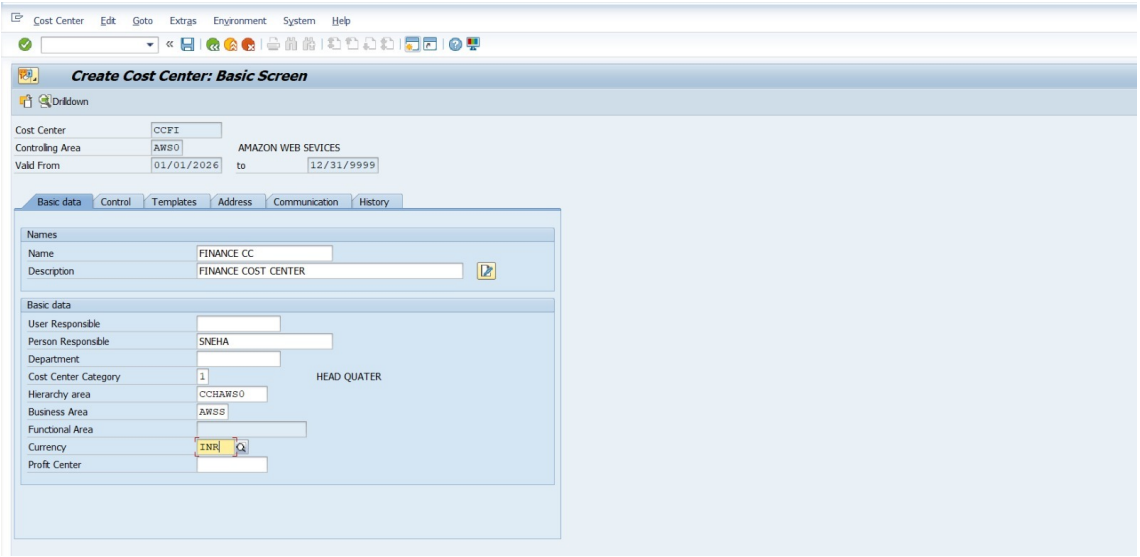


Fig. 2: Create cost center, basic screen. (The controlling area description in this training data contains a spelling slip, "SEVICES".)



Fig. 3: Standard cost center hierarchy (cost center groups).

3. General Ledger: accounts and postings

I created GL accounts and posted a set of business transactions, then checked the results in the G/L account line item display.

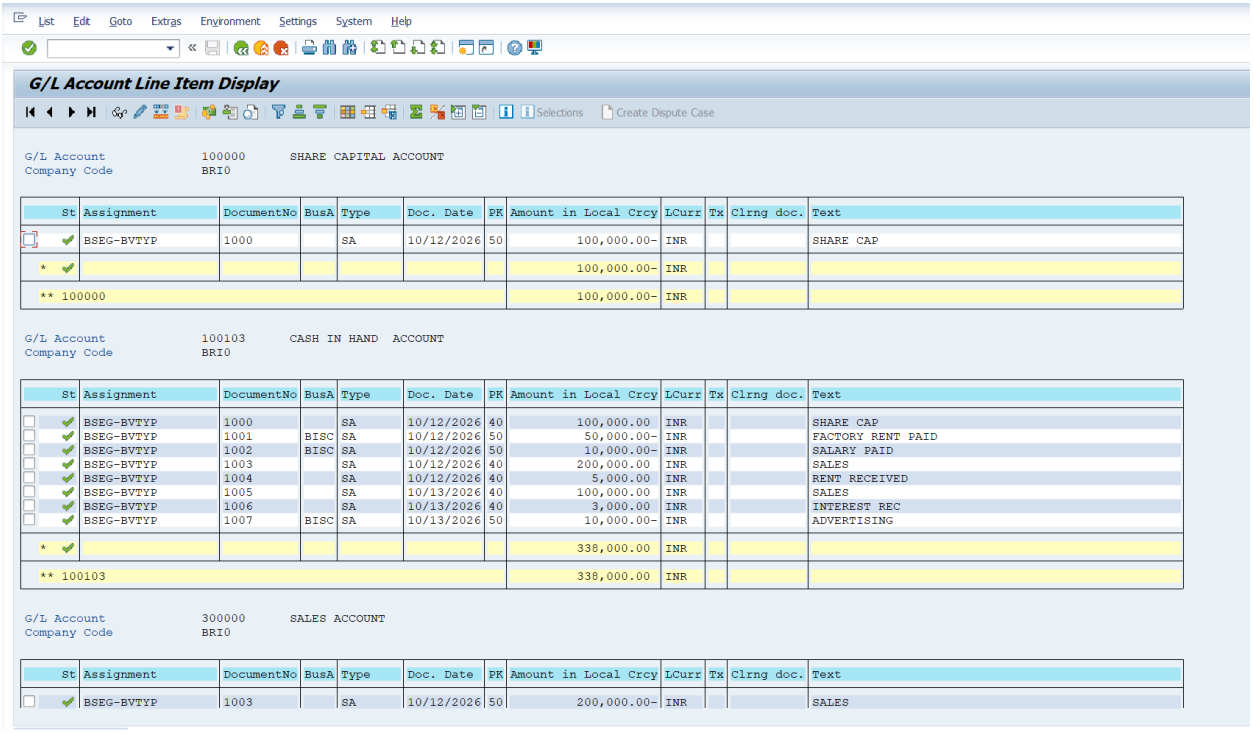
GL account types in S/4HANA

Account type	Use
Balance sheet account	Assets, liabilities, equity
Primary costs or revenue	Normal operating expenses and income (salary, rent paid, sales)
Nonoperating expense or income	Items outside core operations (for example interest, dividend)
Secondary costs	Internal allocations in CO only
Cash account	Cash and bank accounts (relevant to the cash flow statement)

Posting results (company code BRI0)

Doc	Date	Transaction	Effect on cash (INR)
1000	10/12/2026	Share capital received	Dr 100,000
1001	10/12/2026	Factory rent paid	Cr 50,000
1002	10/12/2026	Salary paid	Cr 10,000
1003	10/12/2026	Sales	Dr 200,000
1004	10/12/2026	Rent received	Dr 5,000
1005	10/13/2026	Sales	Dr 100,000
1006	10/13/2026	Interest received	Dr 3,000
1007	10/13/2026	Advertising	Cr 10,000
		Cash balance	**338,000**

Verification. Capital 100,000 + income 308,000 (sales 300,000, rent received 5,000, interest received 3,000) - expenses 70,000 (rent 50,000, salary 10,000, advertising 10,000) = 338,000, which equals the cash balance. This assumes the other side of each entry went to the matching capital, income or expense account.



G/L Account Line Item Display

G/L Account 100000 SHARE CAPITAL ACCOUNT
Company Code BRI0

St	Assignment	DocumentNo	BusA	Type	Doc. Date	PK	Amount in Local Crcy	LCurr	Tx	Clrng doc.	Text
✓	BSEG-BVTYP	1000		SA	10/12/2026	50	100,000.00-	INR			SHARE CAP
* ✓							100,000.00-	INR			
** 100000							100,000.00-	INR			

G/L Account 100103 CASH IN HAND ACCOUNT
Company Code BRI0

St	Assignment	DocumentNo	BusA	Type	Doc. Date	PK	Amount in Local Crcy	LCurr	Tx	Clrng doc.	Text
✓	BSEG-BVTYP	1000		SA	10/12/2026	40	100,000.00	INR			SHARE CAP
✓	BSEG-BVTYP	1001	BISC	SA	10/12/2026	50	50,000.00-	INR			FACTORY RENT PAID
✓	BSEG-BVTYP	1002	BISC	SA	10/12/2026	50	10,000.00-	INR			SALARY PAID
✓	BSEG-BVTYP	1003		SA	10/12/2026	40	200,000.00	INR			SALES
✓	BSEG-BVTYP	1004		SA	10/12/2026	40	5,000.00	INR			RENT RECEIVED
✓	BSEG-BVTYP	1005		SA	10/13/2026	40	100,000.00	INR			SALES
✓	BSEG-BVTYP	1006		SA	10/13/2026	40	3,000.00	INR			INTEREST REC
✓	BSEG-BVTYP	1007	BISC	SA	10/13/2026	50	10,000.00-	INR			ADVERTISING
* ✓							338,000.00	INR			
** 100103							338,000.00	INR			

G/L Account 300000 SALES ACCOUNT
Company Code BRI0

St	Assignment	DocumentNo	BusA	Type	Doc. Date	PK	Amount in Local Crcy	LCurr	Tx	Clrng doc.	Text
✓	BSEG-BVTYP	1003		SA	10/12/2026	50	200,000.00-	INR			SALES

Fig. 4: G/L account line item display for share capital, cash in hand and sales accounts. Posting key 40 is a debit and 50 is a credit; all documents are type SA.

4. AP/AR foundation: Customer/Vendor Integration

In S/4HANA, vendors and customers are created through the **Business Partner (BP)**. The Customer/Vendor Integration (CVI) settings connect the classic account groups with the BP, so master data is not duplicated.

Setting	What I configured
Number assignment, vendor to BP	Vendor groups BRI2, BRI3, BRI4 mapped to BP groupings
BP role, vendor to BP	FI vendor role FLVN00 assigned to the vendor groups
Number assignment, customer to BP	Customer groups BRI5, BRI6, BRI7 mapped to BP groupings

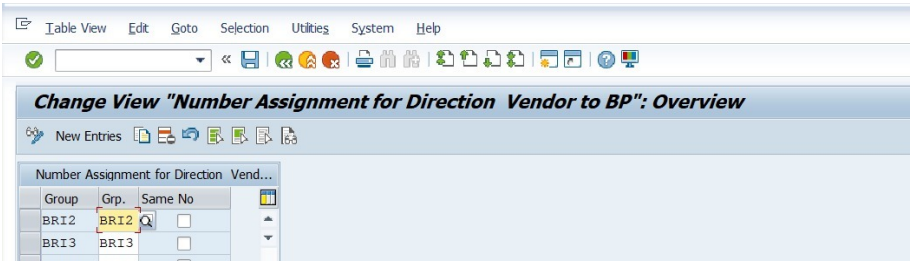


Fig. 5: Number assignment for direction vendor to BP.

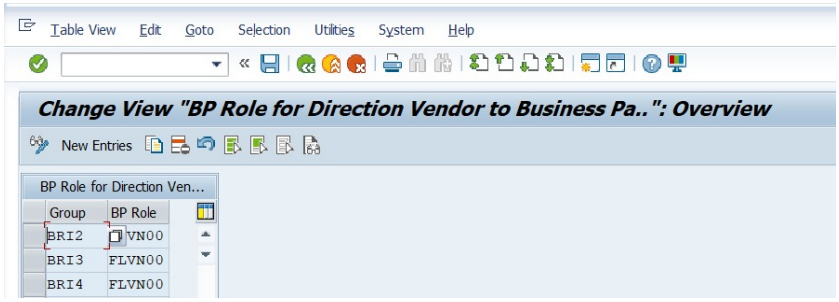


Fig. 6: BP role for direction vendor to Business Partner.

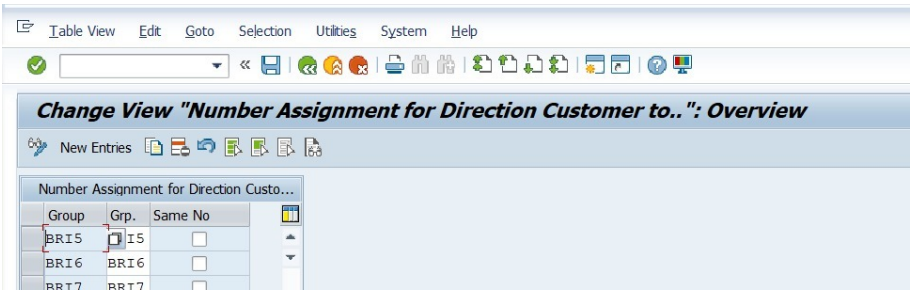


Fig. 7: Number assignment for direction customer to BP.

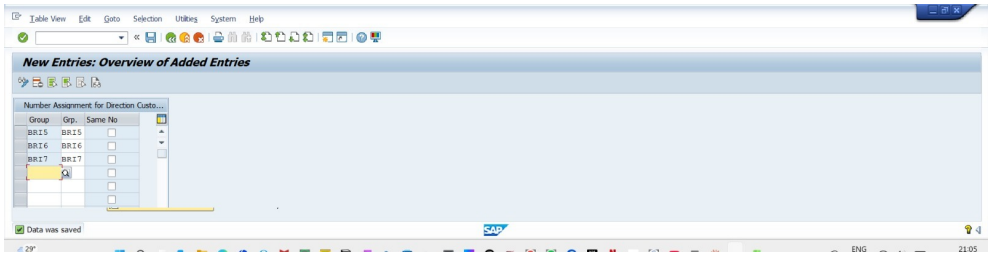


Fig. 8: New entries saved ("Data was saved").

Key learnings

- FI posts the accounting entry and CO shows which department it belongs to; the company code to controlling area link joins them.
- Account type and classification decide how an account behaves, so set them correctly before posting.
- A posting is verified by reconciling balances, for example cash against capital, income and expenses.
- In S/4HANA, vendor and customer master data runs through the Business Partner, so CVI configuration comes before AP/AR postings.

Next steps

- Create vendor and customer Business Partners; post invoices and payments and clear open items.
- Bank accounting and period-end closing.
- Prepare for the SAP S/4HANA Financial Accounting certification (C_TS4FI).